

CHAPTER - 8

VOID AGREEMENT

An agreement not enforceable by law is said to be void. Thus, a void agreement is void ab initio i.e., no agreement at all from its very inception (e.g., an agreement with a minor or an agreement without consideration). A 'void agreement' never amounts to a contract: a 'void contract' is valid when it is entered into, but subsequent to its formation something happens which makes it unenforceable by law.

A contract cannot be void ab initio. A valid contract becomes void because of supervening impossibility or illegality (Sec. 56) or repudiation of a voidable contract, or when the event in a contingent contract becomes impossible (Sec. 32).

Please Note: Subsequent void- A contract which ceases to be enforceable by law becomes void.

The Following Agreements have been expressly declared to be void by the Indian Contract Act:

(A) Agreement in restraint of Marriage:

Every agreement in restraint of marriage of any person **other than a minor** is void.

Illustration: Amit agrees with Amrita for good consideration that she will not marry Abhinav. It is a void agreement.

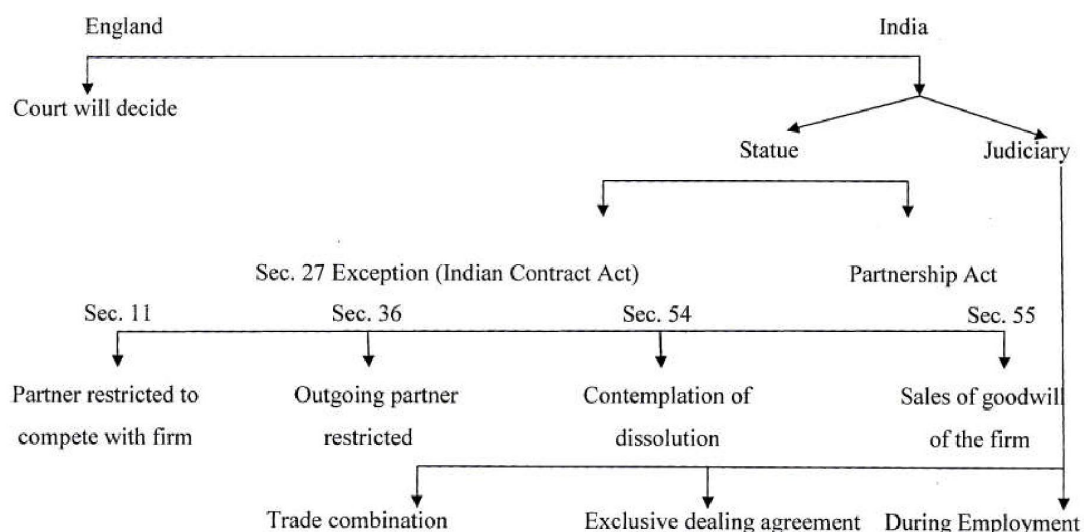
Amit agrees with Amrita that she will marry him only. It is a valid contract of Marriage.

Case Law: Rao Rani v. Gulabo Rani

Facts in brief: Two parties were the widows of the same man. After the death of their common husband, a dispute had arisen as to land holdings. The dispute was amicably settled by signing a compromise deed wherein it was stated that both of them would inherit equally but if anyone would re-marry, the entire right over the property would shift to the other. Subsequently, Gulab Rani married again and the property came under the

(B) Agreement in restraint of Trade

Every agreement by which anyone is restrained from exercising a Lawful profession, trade or business of any kind is void.



Case law: Madhub Chander v. Raj Kumar

Facts in brief: R faced competition from M due to which he incurred a heavy loss. Consequently, both parties entered into an agreement. The terms of the contract state that if the M closes his business, then R would pay him the money that M advanced to his workers. Later on, R refused to pay the money as promised in the contract.

Held: An agreement whereby one of the parties agrees to close his business in consideration of the promise by the other party to pay a certain sum of money, is void, being an agreement in restraint of trade, and the amount is not recoverable, if the other party fails to pay the promised sum of money.

Exceptions:

Sale of goodwill: The seller of the goodwill of a business can be restrained from carrying on a similar business, within specified local limits, so long as buyer, or any person deriving title to the goodwill from him, carries on a like business therein, except the restraint is reasonable in point of time and space.

Partners' Agreement

An agreement in restraint of trade among the partners or between any partner and the buyer of firm's goodwill is valid if the restraint comes within any of the following cases:

- i. An agreement among the partners that a partner shall not carry on any business other than that of the firm while he is a partner.
- ii. An agreement by a partner with his other partners that on retiring from the partnership he will not carry on any business similar to that of the firm within a specified period or within specified local limits provided the restrictions imposed are reasonable.
- iii. An agreement among the partners, upon or in anticipation of the dissolution of the firm, that some or all of them will not carry on a business similar to that of the firm within a specified period or within specified local limits, provided the restrictions imposed are reasonable.
- iv. An agreement between any partner and the buyer of the firm's goodwill that such partner will not

carry on any business similar to that of the firm within a specified period or within specified local limits provided the restrictions imposed are reasonable.

Trade combination:

- Traders may form associations among them to regulate the business or to fix prices.
- Such agreement like opening and closing of business venture, licensing of traders, supervision and control of dealers, etc. are valid even if they are in restraint of trade.
- But a Combination that tends to create monopoly; or when two enter into an agreement to avoid competition, they are against public policy and hence void.

Sale dealing agreement: Agreements to deal in the products of a single manufacturer or to sell the whole produce to a single dealer are valid if their terms are reasonable.

Service agreement: An agreement of service by which a person binds himself during the term of the agreement, not to take service with anyone else is not in restraint of lawful profession and is valid.

(C) Agreement in restraint of legal proceedings

An agreement by which any party is restricted absolutely from enforcing his legal rights under any contract is void.

Agreements Limiting period of limitation: An agreement which limits the time within which an action may be brought is void.

Please Note: An agreement is not void merely because it provides that any dispute arising between two or more persons shall be referred to arbitration.

Please Note: A clause in a contract that any dispute arising between the parties shall be subject to jurisdiction of a court at a particular place only, is valid.

(D) Agreements the meaning of which is uncertain

Agreements, the meaning of which is not certain, or capable of being made certain, are void.

Areas of uncertainty: Uncertainty may relate to:

- (a) Subject Matter of a contract: There may be uncertainty as regards (i) existence; (ii) quantity; (iii) quality; (iv) price; or (v) title to the subject matter.
- (b) Terms of Contract: There may be uncertainty as regards- (i) existence (ii) quality; (iv) price; or (v) title and other terms in the contract.

Illustration:

A says to B "I shall sell my house; will you buy?" A says, "Yes, I shall buy". Due to uncertainty of price, the agreement is void and unenforceable.

A agreed to pay a certain sum, when he was able to pay. Held, the agreement was void for uncertainty.

D agrees to sell his white horse, for Rs.5, 000 or Rs.10, 000. There is nothing to show which of the two prices was to be given. The agreement is void.

(E) Agreements by way of wager

Agreements by way of wager are void; and no suit shall be brought for recovering anything alleged to be won on any wager, or entrusted to any person to abide the result of any game or other uncertain event on which any wager is made.

Please Note: The word wager means bet.

Essential elements of wagering Elements

- There must be a promise to pay money or money's worth
- Performance of a promise must depend upon determination of uncertain event. It might have already happened but the parties are not aware about it.
- Mutual chances of Gains or Loss.
- Neither party to have control over the events
- Neither party should have any other interest in event.
- One party is to win and one party is to lose.

Illustration: Mr. A and B mutually agree that if India win today Amit will pay Rs. 1,000 to Puneet and if it loses Puneet will pay Rs. 1000 to Amit. This is a wagering Agreement.

Agreement not held as wager

- Prize in terms of Prize competition Act, 1955 not exceeding Rs.1000 is not a wagering agreement.
- Horse race – Section 30 shall not be deemed to render unlawful a subscription or contribution, or agreement to subscribe or contribute, made or entered into for or toward any plate, prize or sum of money, of the value or amount of five hundred rupees or upwards, to be awarded to the winner or winners of any horse-race.
- Contract of insurance utmost in good faith eg. Favour in public policy.
- Share market transaction - A commercial transaction should always be distinguished from a pure speculative transaction. A commercial transaction is done with an intention of delivery of goods (commodity or security) and payment of price. Therefore, it is not a wagering agreement.
- Crossword competition involving skill for its solution. If skill plays an important role in the result of a competition and prize depends upon the result, the competition is not. Involve applications of skill and prizes are awarded to the participants on the basis of merit of their solutions and not on chance. Therefore, such competitions are valid and are not wagers.

- Athletic Competitions also fall in the category of games of skill. Therefore, these are also not wagers.

Illustration: A and B, two wrestlers, agreed to enter into a wrestling contest in Ahmedabad on a certain day. They further agreed that a party failing to appear on the fixed day was to forfeit Rs.500 and the winning party will receive a sum of Rs.1,000. Held, it was not a wagering agreement.

- Contribution to chit fund is not wager – contributions made by the members are refunded by draw of lots.

(F) Agreements contingent on impossible events

Contingent agreements to do or not to do anything, if an impossible event happens, are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.

Illustration: A agrees to pay B 1,000 rupees if two straight lines should enclose a space. The agreement is void.

A agrees to pay B 1,000 rupees if B will marry A's daughter C. C was dead at the time of the agreement. The agreement is void.

(G) Agreements to do impossible act

An agreement to do an act impossible in itself is void.